

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

	2025 Shs '000	2024 Shs '000
Revenue from contracts with customers	21,265	26,378
Direct costs	(100,179)	(97,843)
Gross (loss)	(78,914)	(71,465)
Other operating income	-	620
Impairment reversal	-	22
Administrative expenses	(14,872)	(10,993)
Other operating expenses	(11,424)	(14,015)
Operating (loss)	(104,112)	(95,831)
Finance costs	(51,566)	(40,589)
(Loss) before tax	(155,678)	(136,420)
Tax credit	30,659	28,512
(Loss) for the year	(125,019)	(107,908)
Basic and diluted (loss) per share	(2.62)	(2.26)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	As at 31 December 2025 Shs '000	As at 31 December 2024 Shs '000
CAPITAL EMPLOYED		
Share capital	238,557	238,557
Share premium	28,963	28,963
Revaluation reserve	870,723	750,915
Accumulated losses	(666,059)	(608,509)
Shareholders' funds	472,184	409,926
Non-current liabilities		
Borrowings	429,324	382,943
Lease liabilities	46,570	50,387
Deferred tax	429,870	380,267
	905,764	813,597
	1,377,948	1,223,523
REPRESENTED BY		
Non-current assets		
Property, plant and equipment	287,673	275,893
Right-of-use assets	1,066,537	917,367
Investment property	37,081	-
	1,391,291	1,193,260
Current assets		
Inventories	28,752	28,752
Trade and other receivables	14,944	13,297
Cash and cash equivalents	1,319	608
Tax recoverable	31,379	31,379
	76,394	74,036
Assets held for sale	1,286	-
	77,680	74,036
Current liabilities		
Lease liabilities	2,882	1,088
Trade and other payables	88,141	42,685
	91,023	43,773
Net current (liabilities)/assets	(13,343)	30,263
	1,377,948	1,223,523

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital Shs '000	Share premium Shs '000	Revaluation reserve Shs '000	Accumulated losses Shs '000	Total Shs '000
Year ended 31 December 2025					
At start of year	238,557	28,963	750,814	(808,509)	409,825
(Loss) for the year	-	-	-	(125,019)	(125,019)
Other comprehensive income:					
- Surplus on revaluation of property, plant and equipment and right-of-use assets	-	-	267,539	-	267,539
- Deferred tax on revaluation surplus	-	-	(80,262)	-	(80,262)
Transfer of excess depreciation	-	-	(96,385)	96,385	-
Deferred tax on excess depreciation transfer	-	-	28,916	(28,916)	-
At end of year	<u>238,557</u>	<u>28,963</u>	<u>870,722</u>	<u>(666,059)</u>	<u>472,184</u>

**ABRIDGED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025**

	31 December	
	2025	2024
	Shs '000	Shs '000
At start of year	608	1,216
Net cash (used in) operating activities	(6,097)	(6,215)
Net cash (used in) investing activities	-	(41)
Net cash from financing activities	6,851	5,375
Effect of exchange rate changes	(44)	274
At end of year	<u>1,319</u>	<u>608</u>

The above are extracts from the audited financial statements of the group for the year ended 31 December 2025.

For the year to 31 December 2025, the directors do not recommend the declaration of a dividend.

By order of the board

Chief Executive Officer

Performance

The company's performance for the year ended 31 December 2025 was still unstable with the revenue generated for the year declining by 19% to Kshs. 21.26 million as compared to the year 2024. This decrease is attributed to decreased rental of space during the year when the company commenced the construction of a strip mall and filling station in the first phase of its planned projects on the company land which was part of the storage facility. This construction works is still ongoing and the members and stakeholders will be briefed on the progress at the Annual General Meeting scheduled in June 2026.

On 4 June 2025, the company entered into an agreement to dispose off three acres for Shs. 300 million and the transaction was completed after year-end due to administrative delays in processing new titles after subdivision. As result, this sale was not reported in the financial year ended 31 December 2025. Since the transaction was subsequently completed in quarter one of 2026, the transaction will be reported in financial statements for the year ended 31 December 2026.

Future Outlook

The Board and management have continued to focus on enhancing the company's financial performance through improving operational efficiency, growing income, reducing losses, and managing costs. With the completion of the first phase of the construction during the year, the principal shareholder will continue to provide financial support to the group when necessary.